ECON 311
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May 17th, 2025
Honors Thesis Paper

Lessons of the 2008 Financial Crisis and the Regulatory Response of Dodd-Frank and Basel III

The financial crisis of 2008 exposed enormous problems in global banking. Banks placed risky wagers, lent money to people who were unable to pay it back, and when large financial institutions failed, the whole system came close to failing. This essay reflects on what caused the crisis and discusses the main regulations that have been put in place since then, namely the Dodd-Frank Act and Basel III, and how they have affected banking activity. I follow government reports and financial news to see how these changes have enhanced stability, lending, and risk management. While things are better, new gaps and risks remind us we cannot let our guard down. When I initially began studying the 2008 crisis, I learned about it on the surface.

Yet the more I studied, the more I understood how much it still affects everything that we're studying today. In 2008, we saw financial markets fall apart, the U.S. housing market collapse, banks go under, and fear spread in global lending. This disaster happened because of too much risk-taking, weak rules, and a belief that markets would fix themselves. What came next was not only a bad recession but also a total rethink of how the banking industry should function.

In this essay, I will explore what caused the financial crisis of 2008 and investigate the big problems that caused the crash. Then, I will analyse the major regulations that were enacted afterwards and discuss how they affect our financial system in the long run. Finally, I will discuss if we are ready for future crises and what issues remain.

To understand the 2008 crisis well, we need to look at the deep problems in the system beyond the obvious bank failures. The economic climate had provided perfect conditions for

catastrophe: record-low interest rates, broad-based speculation in residential markets, and unprecedented laxity in lending. Banks offered mortgage loans to borrowers with bad credit histories at a frenzied pace. Such subprime mortgages were the norm instead of being exceptions. Banks, looking to maximise profit, securitised these risky loans into mortgage-backed securities. They sold these securities to institutional investors and individual buyers in markets all around the world.

Another example from this case is that Goldman Sachs built a well-known financial product called the "Abacus 2007-AC1" collateralised debt obligation (CDO). It packaged risky mortgage loans and enabled hedge fund manager John Paulson to bet against it. Goldman subsequently paid a $550 million penalty to the SEC due to the fact that it failed to inform investors about this conflict of interest. Investors lost more than $1 billion when the housing bubble collapsed. At first, this system appeared to work for everybody.

Home buyers were easily able to obtain loans, banks made money from fees, and investors received high dividends. Risks were, however, lurking in the background. There was little documentation ("no-doc" loans) for these loans, and banks were taking on a lot of debt, meaning that they would lose money if housing prices fell even slightly.

The housing bubble burst in 2006, and the housing market collapsed; defaults piled up. The price of MBS plummeted, and institutions that held these securities suffered large losses.
The crisis reached its peak in 2008. Bear Stearns failed in March, and Lehman Brothers went bankrupt in September. These failures caused fear in the financial markets. Banks stopped lending to each other because they were afraid of bad assets. The commercial paper market shut down, and global credit chains came to a halt overnight.

One of the worst parts of the crisis was the behaviour of "shadow banks." These are banks like hedge funds and investment banks that acted like banks but were not required to follow the same rules. These banking groups were closely tied to the regular banking system but were mostly overlooked by regulators. When they failed, they created issues that helped lead to the crisis.

Picking up where we left off in our September 2008 example, that's when Lehman Brothers, a giant investment bank, collapsed and created a great deal of panic. This was not only a Wall Street problem; this was an everybody problem. All of a sudden, credit cards weren't being accepted, loans halted, and people started to question whether their money was safe in the bank. I clearly remember sitting, watching the news, and Lehman workers leaving with cardboard boxes. The bank had put all its money on subprime mortgages and financed itself using short-term borrowing to stay in business. When the lenders lost faith and deserted, Lehman did not have a plan B. The most frightening aspect was that the regulations were very weak and not robust enough to prevent this crisis or contain the damage after it began. Then, after that crisis, Congress had to reform the system, so they enacted Dodd-Frank. That legislation instituted a financial "early warning system" in the form of the Financial Stability Oversight Council.

They also began to make banks go through "stress tests." This made them prove they could survive another economic dip without failing like Lehman had. The Volcker Rule banned banks from gambling with their own funds. It also created a new system for closing down insolvent banks that would not cause a massive economic collapse or need taxpayers to pay for it. Everywhere else, the Basel III reforms did the same thing.

Banks were then forced to keep more money in reserve, kind of like a rainy-day fund in the event of economic crises. These reforms made banking less risky and more transparent. The Lehman collapse was a painful lesson, but one that had to be learned. Banks are healthier now, with around 13.5% capital levels compared to only 9.9% after the crisis. They also do not lend so freely, especially for homes.

The threat doesn't vanish; it merely changes into different forms with time. Nowadays, private equity funds and banks are extending risky loans to companies that are already deep in debt. They are bundling these loans into sophisticated products called CLOs (Collateralised Loan Obligations) that have a spooky resemblance to the mortgage securities that caused colossal problems in 2008. Silicon Valley Bank failed in March 2023 because it made some faulty risk management choices. The bank had put $91 billion of deposits into long-term government bonds, and their value decreased when interest rates went up very quickly.

Even as it is the 16th largest U.S. bank with $209 billion in assets, it has been helped by the 2018 rollback of the Dodd-Frank rules that exempted banks with fewer than $250 billion in assets from more stringent liquidity requirements and stress tests. SVB did not have liquid assets to meet customers who took out $42 billion in a single day, the biggest bank run ever, which demonstrated how lax regulations created new vulnerabilities.

Our financial system is better today, but we cannot yet say mission accomplished. Financial innovations keep happening, and so do the risks. Developing good financial regulations is not a one-time job; it is gardening, and one has to keep at it as new problems emerge and markets change. The Lehman lesson is not only about what went wrong, but about staying on guard so that history does not recur.

When the bank experienced a concentration of deposits and poor management of risks, combined with rising interest rates, it failed. This failure showed that vulnerabilities in regulation still exist, specifically for medium-sized banks and financial institutions that are not banks. Shadow banks and fintech companies work in an area with less regulation, and their greater involvement in lending makes matters more complex. These institutions are not usually overseen by traditional bank regulators, but they are playing a growing part in moving money around. If not supervised properly, they could create problems in the future.

To conclude, the crisis in 2008 taught the world that financial systems do not self-correct. If not checked, greed for making money can lead to excessive risk-taking, and new ideas without rules can lead to big problems. Dodd-Frank and Basel III were great reforms, but reforms are not permanent solutions. Financial systems change, and the regulations controlling them must also change over time.

Among the lessons is that we need steady and forward-leaning regulation. The 2018 removal of some of the Dodd-Frank safeguards that contributed to SVB's failure shows how political pressures erode essential guardrails. Policymakers must not be complacent and need to be on constant lookout to find emerging dangers. One such need is for openness and a risk culture. The banks need to choose between long-term stability and short-term profit. This includes investing in risk management systems, encouraging ethical behaviour, and keeping stakeholders and regulators informed.

Regulators will also have to contend with emerging threats like climate change, financial risk, and cyber risk. These are real risks that are already affecting markets and institutions. Future reforms must focus on including these risks in current frameworks so that banks and

financial systems can cope with not only economic issues but also environmental and technological issues. Lastly, the financial crisis of 2008 was not a short-term issue; it was indicative of severe problems in the world's financial systems.

The crisis illustrated what happens when banks extend reckless loans, when people take huge gambles with no constraint, and when there is ineffective regulation. It also showed how important it is to go looking for possible risks in the financial system before they become real problems. It also indicated how interlinked our economies are, for when some institutions in the United States failed, it promptly resulted in a global recession. Banks and government policymakers made significant reforms after the 2008 crisis to prevent another catastrophe.

Rules like Dodd-Frank in the US and Basel III internationally compelled banks to hold more money in reserve and made their activities more transparent. These have shored up banks and provided regulators with better tools to recognise problems before they become too big.

When Silicon Valley Bank failed in 2023, it demonstrated that our financial system remains vulnerable. This was not because the early solutions were flawed, but rather to the fact that banking keeps innovating and developing new risks. A second key lesson from the crisis is that regulations cannot be written once and forgotten; they must be updated continuously. The rollback of parts of Dodd-Frank showed that political pressure can undo useful protections. Likewise, the growth of shadow banks and fintech platforms created new risks that current rules tend to miss. The financial sector needs to be agile in the way it addresses regulations.

It has to keep evolving to embrace new technology, changing customer patterns, as well as new risks like cybercrime and climate change financial risks. I want to have a career in finance, and these concepts are important to me. They show that I don't just want to be there, but by being honest, ethical, and cognizant of the impacts financial systems have on society, I want

to be there. The crisis highlighted the fact that finance is not all about numbers; it is also about responsibility, trust, and long-term stability. In the years to come, the stability of the banking system will depend on a balanced plan with fresh ideas and regulations. Banks must focus on managing risks effectively and encouraging people to feel a sense of responsibility towards them.

Policymakers need to remain vigilant, not get complacent, and respond to new types of risks. To me, and to the next generation of finance professionals, there is a clear mission of work ahead: building a financial system that is just, equitable, and stable. It needs to learn from the lessons of the past and prepare for the future. It exposed underlying flaws in how financial systems were built and functioned, leading to enormous regulations that still shape global banking today. Reforms like Dodd-Frank and Basel III have made banks better, but there is still more to do. I think the crisis can teach us much. It can teach us how to decide well, remind us to care about ethics, and challenge us to be curious and to think for ourselves.

(2,015 Word Count)

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*Some parts of this paper were created with the help of AI.

*In-text citations are not included because the sources listed were mainly used as examples and for reference, not for direct quotes.

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